

Module 4

Business Management

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1

Advantages of setting up a limited company:

- **Limited liability**
All shareholders are entitled to limited liability; thus, the shareholders of Panda & Cat Company Limited rarely need to pay corporate debts from their own pockets.
- **Legal personality**
The company is viewed as a legal entity, separate and apart from its owners. Thus, Panda & Cat Company Limited can own property, enter into contracts and do almost any legal act that an individual can.
- **Perpetual duration/ Perpetual succession**
A traditional advantage of limited company form has been its perpetual duration. Thus, Panda & Cat Company Limited is viewed as a separate legal entity, so it can last for a long time.

[Any appropriate answer(s) is/ are acceptable.]

Disadvantages of setting up a limited company:

- **Higher taxation**
Panda & Cat Company Limited is subject to corporate profits tax rate of 16.5%, a bit higher than other forms of entities such as partnerships (i.e. 15%).
- **Formality**
Legal documents including articles of association and prescribed forms must be filed with the Registrar of Companies in order to form Panda & Cat Company Limited.
- **Compliance**
Panda & Cat Company Limited has to maintain certain registers, like register of members, register of directors and secretary, register of charge, etc. There are various statutory requirements of a limited company, e.g. holding annual general meeting, filing annual return. The company has to keep minutes of meetings.

[Any appropriate answer(s) is/ are acceptable.]

Answer 2(a)

The most suitable market targeting strategy that can be adopted by Schein should be:

Single-segment concentration

This strategy enables Schein to gain deep knowledge of the segment's needs and achieve economies in product, distribution and promotion. Particularly, since the cars produced by Schein are high-end, high quality, unique and trendy, Schein can target a particular single segment, e.g. young adults with affluence and purchasing power.

Answer 2(b)

Basic principles of TQM:

- **Customer focus**
Quality and customer satisfaction is the top goal of Schein; it is a requirement and is not negotiable. The principles cover both customer needs and customer services while stressing that Schein should understand its customers' needs and meet (or exceed) their expectations by manufacturing the automotives.
- **Total employee involvement**
Quality improvement is the responsibility of every employee; all employees in Schein must be trained and educated to achieve quality improvement. Schein should have clear objectives and goals and include its employees in actively achieving those targets.
- **Process centered**
Quality problems are found in processes and problems must be prevented, not solved. Processes that are well-managed can help reduce costs, improve consistency and eliminate waste while promoting ongoing improvements of Schein.
- **Integrated systems**
Schein should integrate various systems to help ensure consistency and understanding while speeding up activities.
- **Strategic and systematic approach**
Schein should put efforts to focus on key processes and align processes that complement each other, which can lead to better efficiency. When multiple processes are managed together in Schein, systems can be made more efficient.
- **Continuous improvement**
Continuous quality improvement in Schein is a strategic goal that requires planning and organisation. The benefits of continuous improvement include an increased ability to benefit from new opportunities, more organisational flexibility and improved performance, particularly during tough economic times.

- **Fact-based decision making**
A logical business approach should be based on data and analysis. Thus, Schein should avoid making decisions rashly or without careful analysis.
- **Communication**
Communication ensures a strong relationship between Schein and its suppliers. It recognises their inter-dependence and enhances productivity and seamless working practices.

Answer 3(a)

Differences between short-term finance and long-term finance:

- Compared to long-term finance, the short-term borrowing rates move up and down frequently, and interest expense on short-term funds can change substantially from year to year. Another potential risk of relying on short-term funds is availability. Even financially healthy companies can occasionally find it difficult to borrow money.
- Funds from short-term sources can help a company meet current needs for cash or inventory. A larger project plan, however, such as acquiring another company or making a major investment in real estate or equipment, usually requires funds for a much longer period of time. Unlike short-term sources, long-term sources are repaid over many years.

Answer 3(b)

Three potential ways for long-term finances:

- **Public sale of stocks and bonds**
Public sales of securities such as stocks and bonds are a major source of funds for Kabuki. Such sales provide cash inflows for Kabuki in consideration of either a share in its ownership (for a stock purchaser) or a specified rate of interest and repayment at a stated time (for a bond purchaser).
- **Private placements**
Some new stock or bond issues are not sold publicly but are instead sold to a small group of major or selected investors, such as pension funds and insurance companies. These sales are referred to as private placements.
- **Commercial property mortgage loan**
Kabuki can make use of the property mortgage loan to acquire the finance.

- **Private equity funds**
These are investment companies that raise funds from wealthy individuals and institutional investors and use those funds to make large investments in both public and privately-held companies. Private equity funds invest in all types of businesses, including mature ones.
- **Big-ticket equipment loan**
This is a type of long-term loan for big-ticket items such as equipment. Big-ticket items normally imply high value, and the loan financing of these items involves terms from at least 12 months to a few years. Kabuki can try to loan its big-ticket items to acquire the capital.
- **Hedge funds**
These are private investment companies open only to qualified large investors.

[Any appropriate answer(s) is/ are acceptable.]

Answer 4(a)

Operational risks include failures in internal processes or systems, human error, safety for employees and other stakeholders, as well as changes in government policies regarding issues such as pollution, safety and hazardous waste. Operational risks could lead to an increase in costs or a decrease in revenues.

Answer 4(b)

Examples of operational risks:

- **Internal fraud**
Acts involving at least one person in the café who tried to circumvent the law, regulations or company policy. Examples include intentional misreporting of finances and employee theft.
- **External fraud**
Acts by someone external to the café who tried to circumvent the law. Examples include robbery and computer hacking.
- **Business disruption and system failures**
System failures or disruption of the café. Examples include utility outages, hardware and software failures and telecommunication problems.
- **Execution, delivery and process management**
Trade disputes and failure in transaction processing or process management of the café. Examples include vendor disputes, incomplete legal documentation, data entry errors and unapproved access given to clients' accounts.

- **Damage to physical assets**
Loss or damage to physical assets of the café caused by natural disasters or other events. Examples include fires, floods, terrorism and vandalism.
- **Employment practices and workplace safety**
Acts that could lead to compensation claims or which are inconsistent with employment, health or safety laws or agreements of the café. Examples include violation of employee health and safety policies, discrimination claims and general liability (for example, an employee slipping and falling in a kitchen).
- **Clients, products and business practices**
Use of inappropriate products or business practices and negligence causing failure to meet obligations to customers of the café. Examples include misuse of confidential customer information, the sale of unauthorised products and failure to meet obligations.

Answer 4(c)

Main issues to be addressed in the feasibility study:

- Marketing of the café takes the ideas that are generated and the customer needs that are identified from the first stage of the design process and formulates alternative product and service concepts. The market analysis assesses whether there is enough demand for the proposed product to invest in developing it further.
- The second is economic analysis, which looks at estimates of production and development costs of the new products and compares them to estimated sales volume in the café.
- Finally, there are technical and strategic analyses that answer questions such as: Does the new product require new technology? Is the risk or capital investment excessive? Thus, the owners need to check if the café possesses the technical skills/equipment and the risk involved when producing the new products.

Answer 5(a)

Define wages and salaries:

- Wages are based on an hourly pay rate or the amount of work accomplished.
- Salaries are calculated periodically, such as weekly or monthly.

Answer 5(b)

Description of Herzberg's Two-factor Theory:

- There are two factors in Herzberg's Two-factor Theory: satisfier factors and hygiene factors.
- Two-factor Theory links hygiene factors with job dissatisfaction. Job dissatisfaction goes up as hygiene factors go down.
- Satisfier factors are found in the job content, like job challenge and recognition for work well done.
- Hygiene factors are found in the job context, like working conditions, interpersonal relations, and compensations.
- Satisfier factors are linked with job satisfaction. Herzberg believed that the more satisfier factors present in a job, the higher work motivation the individual has.
- Herzberg argued that improvement of the hygiene factors will not increase job satisfaction and motivation.

Reasons for demotivation of Thomas by adopting Herzberg's Two-factor Theory:

- In Thomas's situation, it is found that there are some unfavourable hygiene factors – for example, lower salary than before.
- Because of the change in the pay structure in which overtime payment is cancelled, Thomas has to work longer but result in lower salary per hour.
- Another unfavourable hygiene factor is poor relationships with the supervisor and the colleagues. It seems like his supervisor always gave him difficult tasks, and because of his long work hour, his colleagues looked down on him.

Answer 5(c)

The types of training programmes provided to Thomas:

- On-the-job training
This prepares Thomas for job duties by allowing him to perform tasks under the guidance of senior employees.
- Mentoring
The senior employee becomes the mentor to provide advice and suggestions to Thomas in improving his performance.
- Apprenticeship training
Thomas learns a job by serving for a time as an assistant to senior employees.

Answer 6(a)

Stage of product life cycle of the café and its implications:

This café should be categorised as being in the "Introduction Stage".

This is when the café is first introduced in the marketplace. To inform consumers about this café, Mr Wong needs to invest in promotional activities. These efforts should attract potential customers to evaluate and go to the new café.

However, substantial profits do not usually occur until later stage, even the café successfully launched the product, as sales in the introduction stage need to offset the promotional costs and product development costs.

Only after these costs are recouped does the café begin to profit from the sales.

Answer 6(b)

Service concepts of this Japanese anime café:

- Service time

This refers to the time that a company takes to serve a customer.

This café tries to reduce the waiting time for customers by establishing a rule that all food and costumes ordered will be delivered in 15 minutes.

- Error/ defects control

The unique inventory challenges in the service industry make advanced planning especially important for service providers. They must anticipate problems in advance, imagine what could go wrong, and develop strategies for reducing the frequency and impact of service failures. A service failure refers to the performance of a service that fails to meet customer expectations.

This café provides a tablet to let customers order food and costumes in order to ensure order accuracy. Moreover, the information posted on the café homepage and app can allow customers to know more about the available food items and newly-introduced costumes. These can further help reduce service failures as the customers will know what food items and costumes are available to avoid service failure when customers may request something that cannot be provided by the café.

- Service as a strategic goal

By treating service as a strategic goal, a company can ensure that both functions are synchronised so the company's delivery capabilities match the expectations created through marketing. In this way, expectations are always set and met appropriately.

Mr Wong has set a goal for this café. He wants to provide consistent and excellent service to the customers. Thus, some implementations are carried out in order to deliver said consistent and excellent service. These can help meet customer expectations.

- Feedback

Feedback from customers should be solicited in order to let the customers discuss product and service experiences. The goal of this feedback solicitation process is to get unbiased insight from customers about how the firm is doing, what it is doing well and should continue to do, and what it should improve on. These insights then help decision-making regarding service design, service offering and employee incentives.

This café adopts net promoter score, which is calculated based on surveys of a single question: "How likely is it that you would recommend our cafe/ food/ service to your friend or colleague". This can provide immediate response to the café in improving their service delivery.

Answer 6(c)

Market entry methods to mainland China:

- Importing and exporting
- Licensing and franchising
- Subcontracting and outsourcing
- Strategic alliance and joint ventures
- Foreign direct investment and subsidiaries
- Multi-national corporations

Answer 6(d)

Appropriate methods to enter mainland China:

- Exporting products (e.g. biscuits) to mainland China.
This Japanese anime café can export biscuits directly to mainland China market, especially when the biscuits have good sales and popularity in Hong Kong which would be easier to be welcomed by customers in mainland China as well. This method is relatively simple and suitable for this new and small café. Moreover, since the biscuits will be produced in Hong Kong and exported to mainland China, the quality of the biscuits can be monitored easily, which is also good for this newly-established café.
- Hiring local companies to produce, distribute and sell the products in mainland China through subcontracting.
Mr Wong can also look for a local Chinese company to produce the biscuits, distribute them to outlets, and then sell to customers directly. This can help reduce a lot of work in exporting the biscuits to mainland China. This can ease distribution, which may be good for this small and newly-established café, but the selection of the local company would be very important.
- Franchising the brand name and operating methods to mainland China.
Once the café has gained fame, Mr Wong can sell the brand name of the biscuits to franchisees in mainland China. They can manufacture, operate and sell the branded-biscuits in mainland China market directly. However, this may be considered only if the brand of the biscuits is popular enough. Moreover, the concept of this café can also be operated in mainland China through this franchising process.

* * * END OF EXAMINATION PAPER * * *